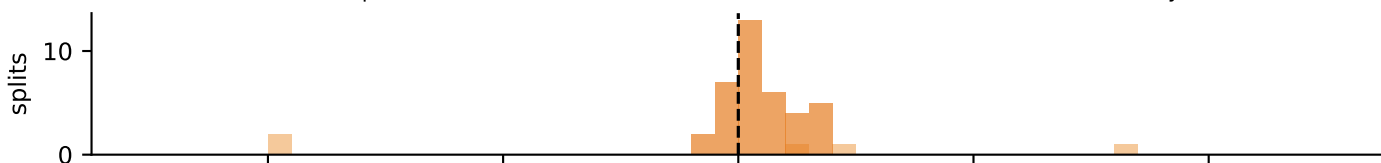
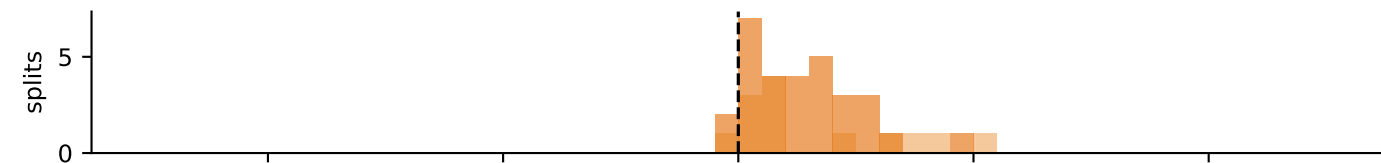


# Where the splits land (weekly decisions, edge 0.1)

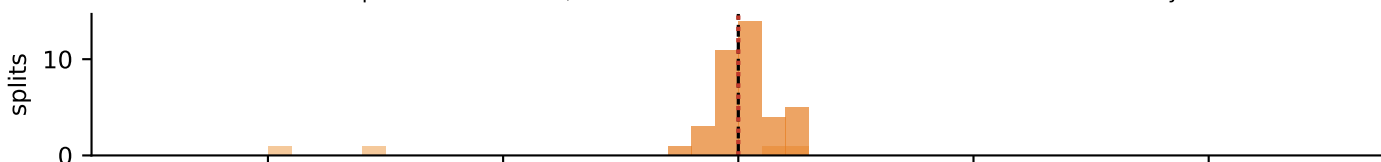
constant volatility,  $\lambda = 1$   
5 second-level splits in 40 datasets; 0% of the datasets have one within 0.25 of the volatility threshold



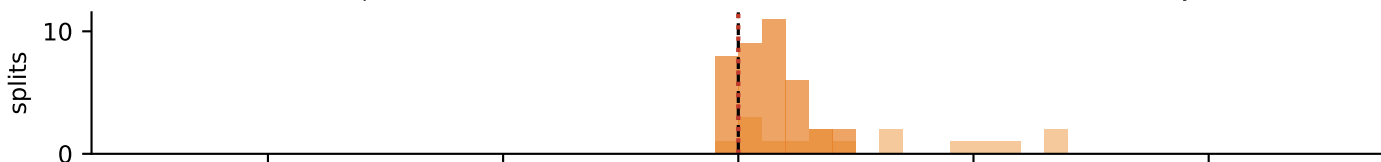
constant volatility,  $\lambda = 10$   
13 second-level splits in 40 datasets; 20% of the datasets have one within 0.25 of the volatility threshold



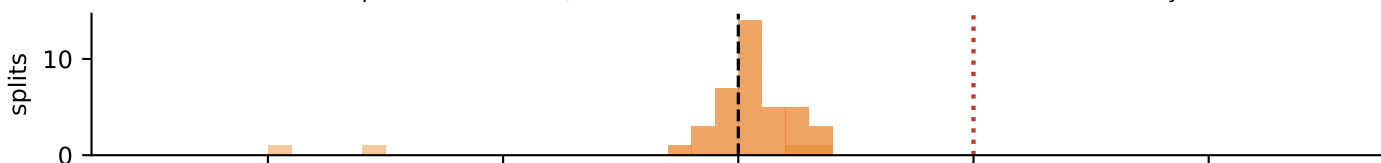
volatility threshold at d,  $\lambda = 1$   
4 second-level splits in 40 datasets; 5% of the datasets have one within 0.25 of the volatility threshold



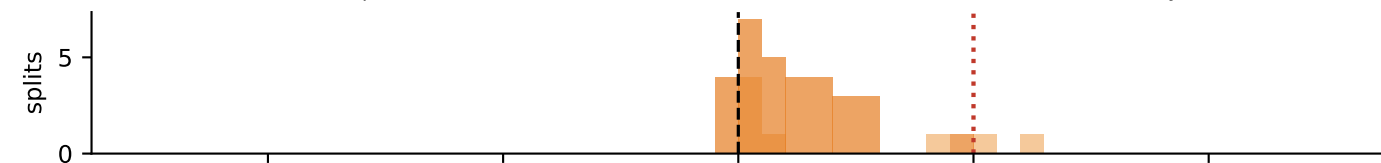
volatility threshold at d,  $\lambda = 10$   
16 second-level splits in 40 datasets; 12% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1,  $\lambda = 1$   
4 second-level splits in 40 datasets; 0% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1,  $\lambda = 10$   
8 second-level splits in 40 datasets; 8% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1,  $\lambda = 10$ , 20-day covariance  
15 second-level splits in 40 datasets; 8% of the datasets have one within 0.25 of the volatility threshold

